ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - STOCK TRADING - BUILDING SELL WATCHLISTS

This lesson focuses on building sell watchlists for shorting stocks. The Dow Jones Industrial composite stock list will be used. It's important to understand that not all index stocks move uniformly (up or down) during bullish or bearish market days. We will concentrate on identifying conditions ideal for bearishness to construct effective sell watchlists.

SEASONAL BEARISH FOCUS AND INITIAL FILTERS

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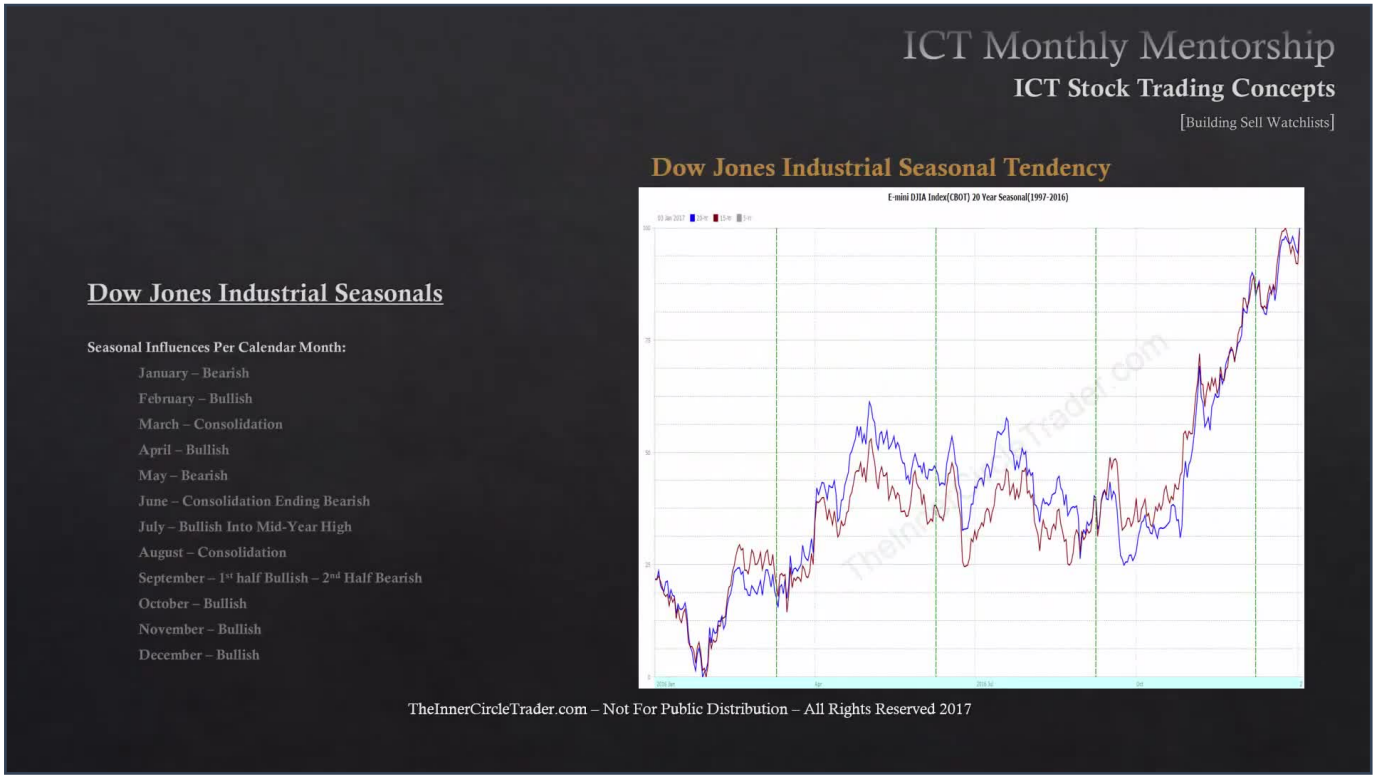
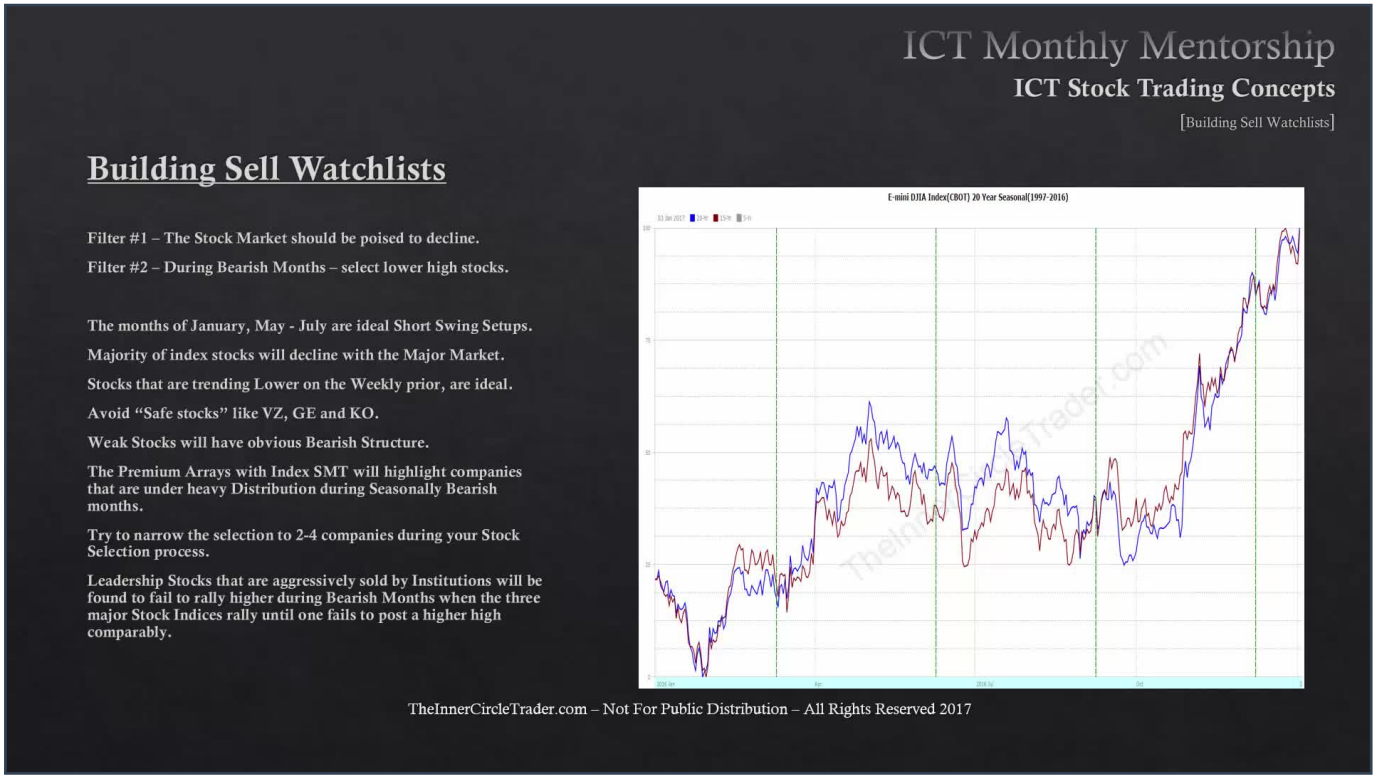


As a reminder, we will focus on the bearish months and any consolidation months for Dow Jones Industrial seasonals. The primary focus area is from May through July.

Building sell watchlists involves two key filters:

- The stock market must be poised to decline.

- During bearish months, look for stocks that make a lower high.



The months of January and May through July are ideal for short swing setups.

- Majority of index stocks will decline with a major market decline.

- Stocks trending lower on a weekly chart prior to this setup are ideal.

- Avoid 'safe stocks' like Verizon, GE, and Coca-Cola.

- Weak stocks will exhibit obvious bearish market structure.

- Premium arrays with Index SMT will highlight companies under heavy distribution during seasonally bearish months.

- The selection process aims to narrow down to two to four companies.

- Leadership stocks aggressively sold by institutions will fail to rally higher during bearish months, especially when the three major indices rally until one of those indices fails to post a comparable higher high.

FOCUSING ON MAY-JULY BEARISH PERIOD AND SMT DIVERGENCE

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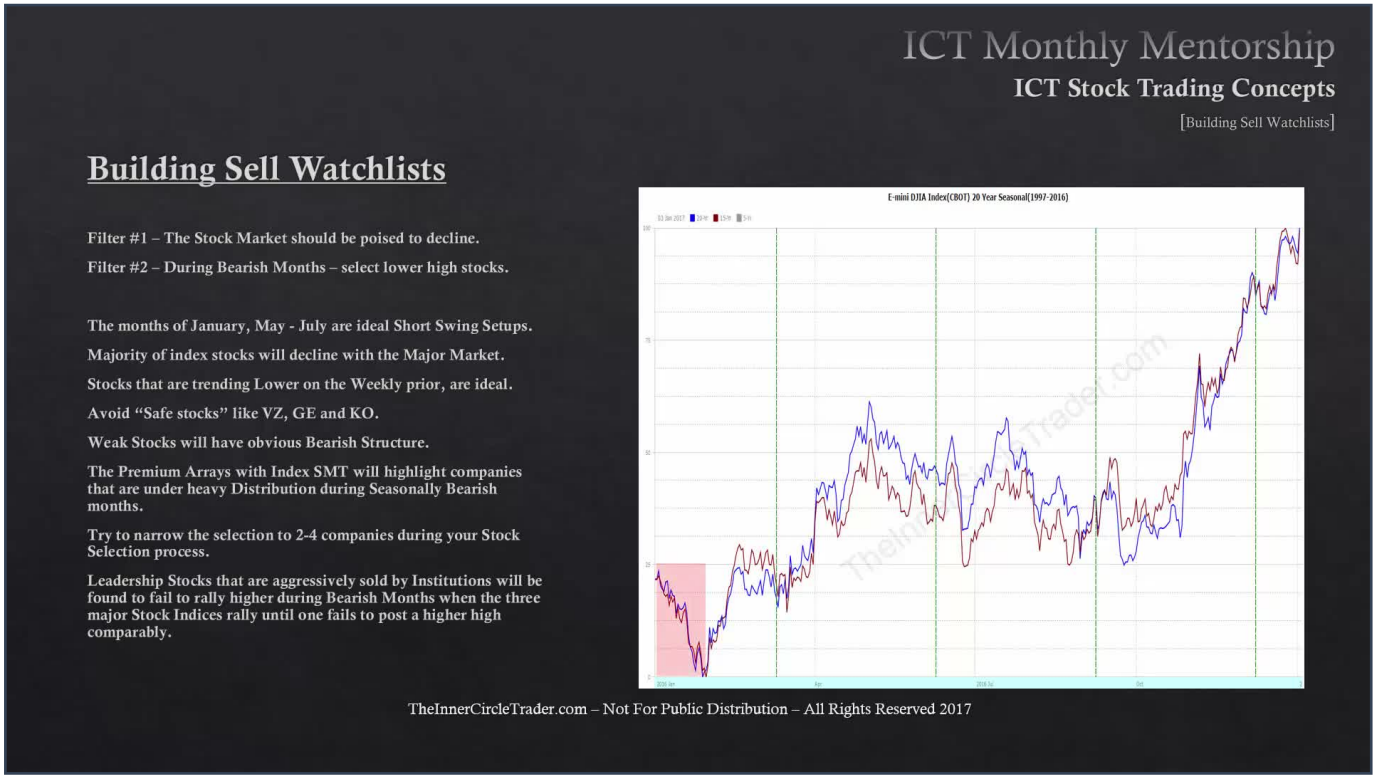
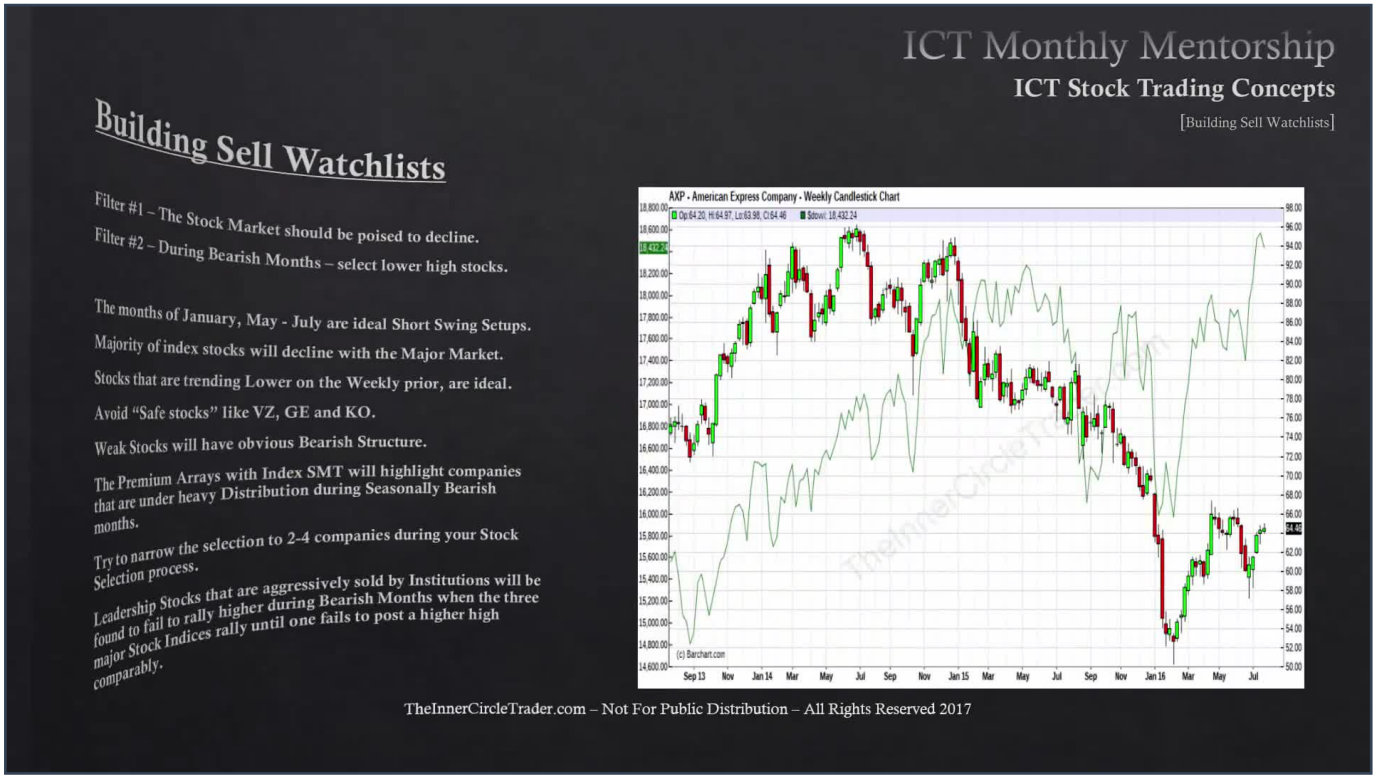


While January is generally a bearish month, the primary focus will be on the period from the May high through the month of July, encompassing the beginning of May to the first of August.

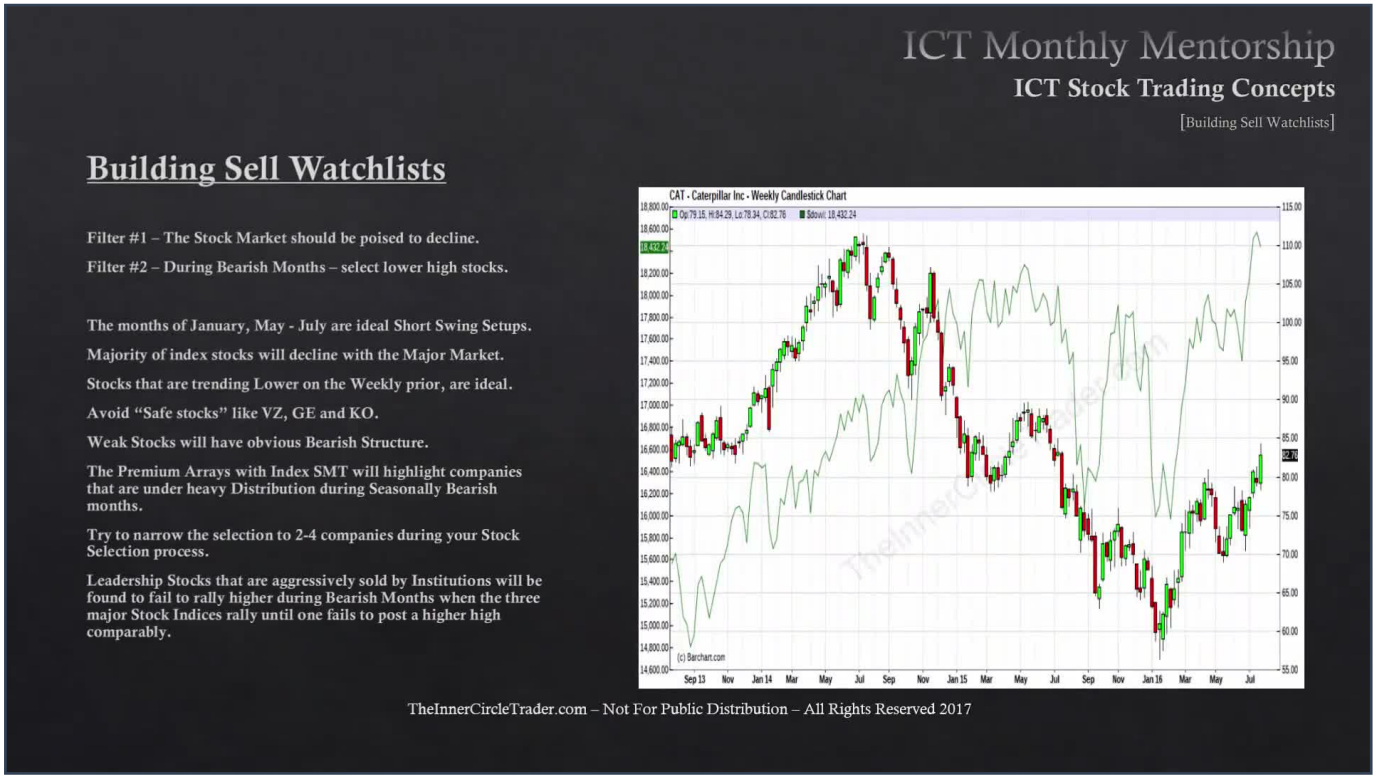
We will primarily focus on Index SMT divergences. For example, in the 2015 May-June-July period, indices failed to make comparable higher highs. The NASDAQ made a higher high, but the Dow and S&P failed to, which is a classic fingerprint for distribution in the stock market.



The first stock example is American Express (AXP), viewed on a weekly chart. The legwork of identifying markets with bearish institutional order flow on the weekly chart has been pre-completed.

- 2014 (Bullish Market): During a bullish May-July period, although a high was called, the Dow Jones (green cumulative line) failed to make a lower high, meaning there was no SMT divergence for bearishness. No obvious divergence means no divergence. There was no gravitational pull for AXP to pull lower or fail to make a higher high.

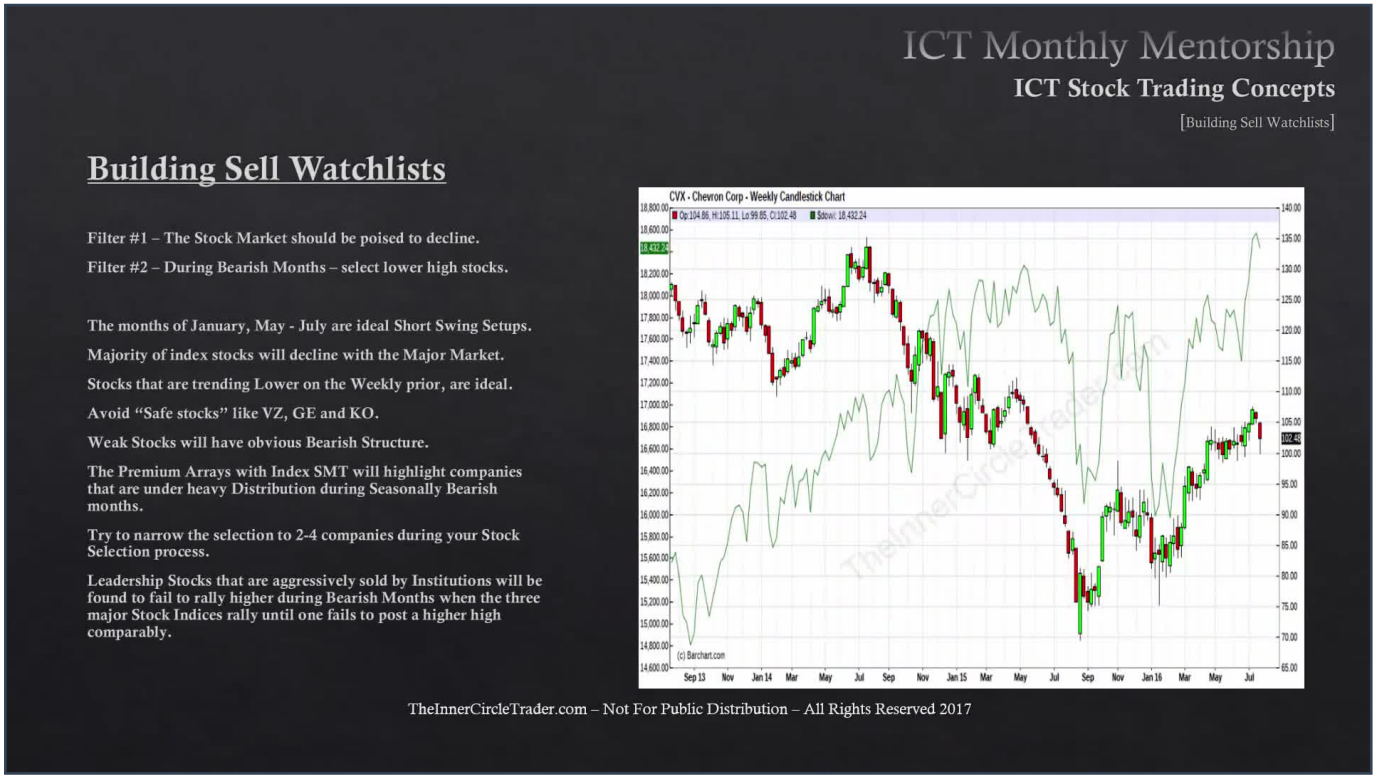
- 2015 (Bearish Market): Between May and the first of August 2015, the Dow Jones was making higher highs leading up to May. However, American Express shares were seeing failure to rally comparably, indicating heavy distribution. The May-June-July period resulted in a seasonal high, and the price traded off rather aggressively from around 80 a share down to almost 50 a share (a 30 a share decline).



The next stock reviewed is Caterpillar (CAT).

- Bullish Market Comparison: When the market was strong, it could create a high even if bearishness was expected. However, a divergence with the indices, specifically a failure swing to produce a lower high during those months, was not present. Therefore, no action could be taken, as it didn't fit the specified criteria.

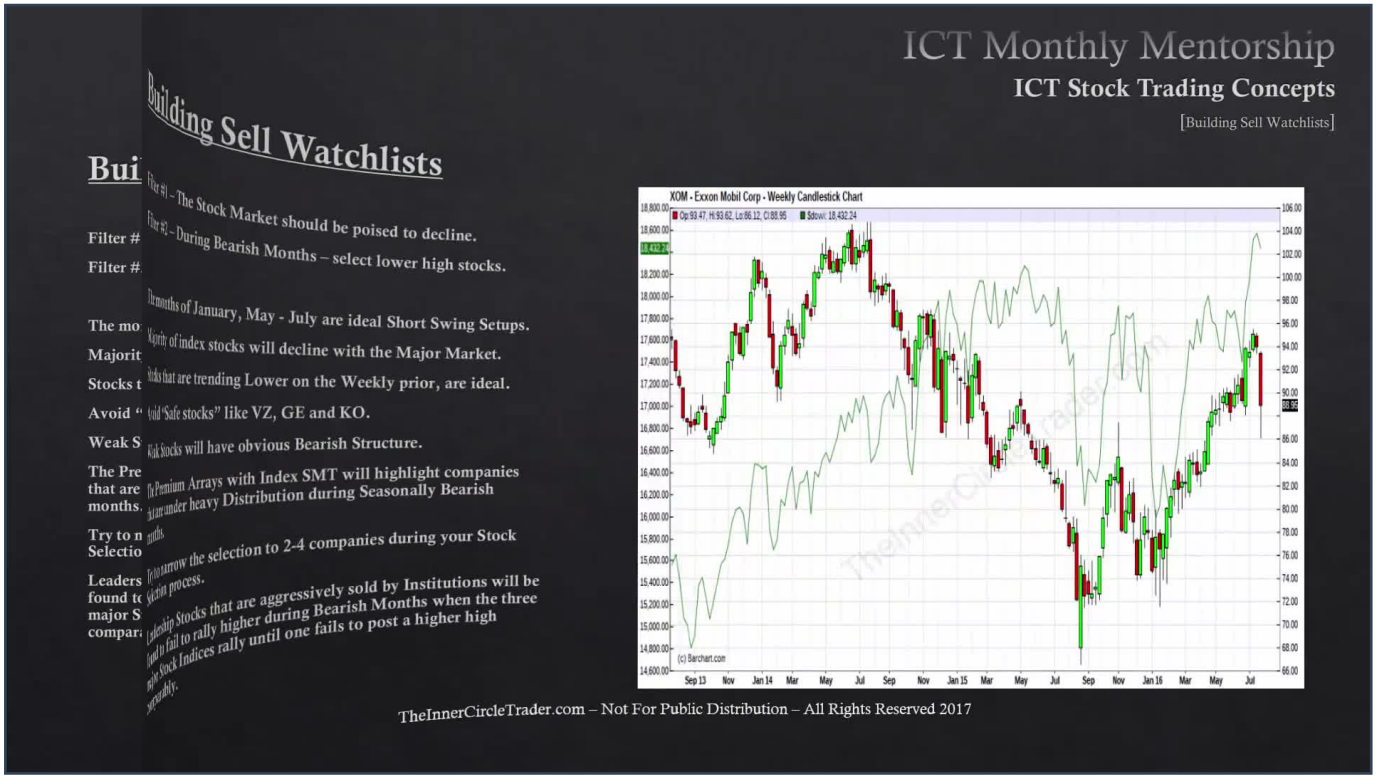
- 2015 (Bearish Market): From May to August 2015, the Dow Jones was making higher highs while Caterpillar was simultaneously failing to make a higher high. Institutional order flow on the weekly chart was bearish. Prices moved from almost 90 a share all the way down to almost 55 a share, a decline of approximately 45 a share. This demonstrates how index stocks can yield significant moves when these conditions align.



The next stock is Chevron Corporation (CVX).

- Bullish Market Comparison: In 2014, when the stock market was bullish, it did cause a high to form in Chevron. However, the focus is on when institutional order flow is bearish.

- 2015 (Bearish Market): In May to August 2015, institutional order flow was bearish. The Dow Jones was making higher highs, while Chevron shares were simultaneously making lower highs, indicating heavy distribution. There was a ramp-up in selling acceleration during the seasonal decline from May to August, leading to a huge decline from 110 a share all the way down to 70 a share.



The next example is Exxon Mobil (XOM).

- Bullish Market Comparison: For comparison, when the market was bullish, the seasonal influence of May to August could lead to a high in shares.

- 2015 (Bearish Market): However, the focus is on heavy distribution when institutional order flow is already bearish, which was observed in May to August 2015. The Dow Jones was posting higher highs, while Exxon Mobil shares were simultaneously failing to make higher highs. This resulted in an acceleration of selling from 90 a share all the way down to almost 66 a share, a significant move.

The final stock on the list is Walmart (WMT).

- Bullish Market Comparison: During bullish market conditions, even with an expected bearish period from May to August 1st, a slight decline was observed. However, the critical factor is a bearish market tone on a weekly basis with bearish institutional order flow.

- 2015 (Bearish Market): In 2015, with bearish institutional order flow on the weekly chart, the Dow Jones made higher highs while Walmart was simultaneously failing to make higher highs. This led to a significant decline from 80 a share all the way down to almost 56 a share.

- Refinement: While Walmart's decline was impressive, it might have been set aside from the primary selections. This is because there was prolonged consolidation in late 2013 through 2014, followed by a rally, but then no genuine attempt to rally before the decline; it was more of a steady drift lower. For ideal setups, you really want to find an area where price wants to rally away, similar to a 'Judas swing' or a market protractionary state, where the rally is then sold. The previous stock selections (AXP, CAT, CVX, XOM) would have been more ideal choices for put options due to this clearer rally failure.

This approach to timing the stock market is highly consistent because institutions operate with consistency, following rule-based programs.

- If these generic traits and recurring conditions (like those taught in the buy and sell watchlist lessons) are understood, it reveals the institutional program.

- This program leaves predictable footprints every year, allowing traders to track 'smart money' due to the sheer volume of their trading, accumulation, or distribution.

- The consistency of these characteristics in price action, guided by institutional programs, suggests that this method should remain effective for years, potentially serving as a valuable tool for future generations to build wealth or generate additional income.

It is crucial to understand these telltale signs, regardless of whether one is actively interested in trading stocks. This knowledge provides vital insight into the general market. The four asset class studies completed this month (stocks, bonds, commodities, S&P) are paramount for comprehensive market understanding.

- Homework Assignment: Go through the NASDAQ 100 stocks this week. Search for 'NASDAQ 100 index stocks' on Google to get the symbols. Although it is more than three times the amount of Dow Jones stocks, it is for personal benefit.

- Apply the same parameters outlined in both the buy model and sell model tutorials.

- The process involves looking at a specific time of year, a condition based on institutional order flow (bearish or bullish on the weekly chart), and aligning that with seasonal tendencies.

The remaining content for this month will cover further evaluation for stock selections, incorporating options. A bonus lesson will also discuss how to utilize all the asset class information for maximum benefit. Until the next lesson, good luck and good trading.